ELIZABETH II

1970 CHAPTER xii

An Act to confer further powers on the Hampshire County Council in relation to the finances of the administrative county of Hampshire; and for other purposes. [15th May 1970]

WHEREAS it is expedient that further and better provision should be made with reference to the finances of the administrative county of Hampshire and that the powers of the county council of that administrative county in relation to the investment of their superannuation fund should be enlarged and extended as by this Act provided:

And whereas it is expedient that the other provisions in this Act should be enacted:

And whereas the purposes of this Act cannot be effected without the authority of Parliament:

And whereas in relation to the promotion of the Bill for this Act the requirements of Part XIII of the Local Government Act, 1933, have been observed: **1933 c. 51.**

May it therefore please Your Majesty that it may be enacted, and be it enacted, by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and

Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Short title.

1. This Act may be cited as the Hampshire County Council Act 1970.

Interpretation.

2.—(1) In this Act the following expressions have the meanings hereby respectively assigned to them:—

1933 c. 51.

" the Act of 1933 " means the Local Government Act, 1933;

1937 c. 68.

" the Act of 1937 " means the Local Government Superannuation Act, 1937;

1961 c. 62.

" the Act of 1961 " means the Trustee Investments Act, 1961;

" the Council " means the county council of the county;

" the county " means the administrative county of Hampshire;

" the county fund " means the county fund of the Council;

" enactment " means any enactment, whether public, general or local, and includes any order, byelaw, rule, regulation, scheme or other instrument having effect by virtue of an enactment;

" the fund " means the superannuation fund maintained by the Council under Part I of the Act of 1937;

" revenues " and " sanctioning authority " have the same meaning as in section 218 of the Act of 1933;

" signature " includes a facsimile of a signature by whatever process reproduced.

(2) Any reference in this Act to an enactment shall be construed as a reference to that enactment as applied, extended, amended or varied by, or by virtue of, any subsequent enactment, including this Act.

Power to raise money by bills.

3.—(1) In addition to the modes of borrowing prescribed by the Act of 1933, the Council may raise money—

(*a*) for any purpose for which the Council are authorised to borrow;

(*b*) in anticipation of the receipt of revenues, for any purpose for which the revenues of the Council may properly be applied;

by means of bills (to be called " Hampshire County Council bills " and in this section referred to collectively as " bills " and separately as a " bill "), subject to and in accordance with the following provisions:—

(i) A bill shall be in the form prescribed by regulations made under this section and shall be for the payment of the sum named therein in the manner and at the date therein mentioned, being a date not more than twelve months from the date of the bill:

(ii) A bill shall entitle the holder thereof to payment at maturity of the sum expressed in the bill to be payable:

(iii) Bills may be offered for purchase (whether by tender or otherwise) in such manner and on such conditions as the Council may determine:

(iv) Bills shall be issued under the authority of a resolution passed by the Council and shall bear the signature of the treasurer to the Council or of some other person authorised by the Council:

(v) The Council may make regulations providing for—

(A) the preparation and form and the mode of issue, payment and cancellation of bills;

(B) the issue of a new bill in lieu of one defaced, lost or destroyed;

(C) the prevention, by the use of counterfoils or of a special description of paper or otherwise, of fraud in relation to bills;

(D) the giving of a proper discharge on the payment of a bill; and

(E) the amendment or revocation of any regulations previously made or deemed to have been made under this paragraph:

(vi) The amount of money received in respect of a bill shall be deemed to be principal money raised by means of the bill and the difference between the amount payable in respect of a bill and the amount received in respect thereof shall be deemed to be interest on the principal money so raised:

(vii) The aggregate amount payable on bills current at any one time shall not (except by the amount payable on bills issued shortly before any other bills fall due in order to pay off the last-mentioned bills) exceed—

(A) the sum of four million pounds; or

(B) one-fifth of the amount estimated to be produced by the levying of rates in the county during the then current financial year to meet liabilities falling to be discharged by the Council;

whichever is the greater:

(viii) Subject to the provisions of the last preceding paragraph the Council may renew a bill at maturity:

(ix) The Council may borrow for the purpose of repaying the principal money raised by bills, but except as aforesaid, any power of the Council to borrow shall be suspended to the extent of the amount which has been raised for capital purposes by the issue of bills.

(2) (*a*) The Council may at the request of a local authority to which this subsection applies raise money by means of Hampshire County Council bills and shall lend such money to the local authority—

(i) for any purpose for which the local authority are authorised to borrow; or

(ii) in anticipation of the receipt of revenues for any purpose for which the revenues of the local authority may properly be applied:

Provided that the aggregate amount payable on bills issued under this subsection for the purpose of lending to the local authority current at any one time shall not (except by the amount payable on bills issued shortly before any other such bills fall due in order to pay off the last-mentioned bills) exceed one-fifth of the amount of so much of the gross rate income of that local authority for the then current financial year as is retained by the authority to meet liabilities falling to be discharged by the authority.

(*b*) The aggregate amount payable on bills issued under this subsection current at any time shall not be taken into account in calculating the aggregate amount referred to in paragraph (vii) of subsection (1) of this section.

(*c*) Any money lent to a local authority by the Council under this subsection shall be repaid to the Council by the local authority on or before the respective dates on which the bills by which the money was raised fall due for repayment.

(*d*) This subsection applies to any local authority, being the council of a borough or an urban or rural district in the county, whose gross rate income in the financial year current at the date of any proposed exercise of the powers of this subsection is not less than three million pounds.

(*e*) In this subsection " gross rate income " means the gross rate income as used in the determination of the product of a rate of one penny in the pound under rules made pursuant to section 113 of the General Rate Act, 1967.

1967 c. 9.

Power to raise money by bearer bonds.

4. In addition to any other method by which the Council may raise any money which they are authorised to borrow, they may, with the consent of the Treasury and subject to such conditions as the Treasury may impose, raise the money by means of the issue of bearer bonds or other securities to bearer.

Power to raise money abroad.

5.—(1) Any method by which the Council are empowered by any enactment to raise any money which they are authorised to borrow shall, notwithstanding anything in such enactment, be deemed to include the raising of money by that method outside the United Kingdom or in any foreign currency.

(2) (*a*) The powers conferred by the foregoing subsection shall not be exercised except with the consent of the Treasury and subject to such conditions as the Treasury may impose.

(*b*) The enactments empowering the Council to raise money shall have effect in relation to a transaction authorised by this section for the raising of money in a foreign currency as if for any reference in those enactments to sterling there were substituted a reference to the foreign currency and for any reference therein to a sum expressed in terms of sterling there were substituted a reference to the sum expressed in terms of the foreign currency (adjusted where necessary to produce an amount which the Council consider appropriate having regard to all the circumstances of the transaction).

Extension of power to invest superannuation fund moneys.

6.—(1) In its application to the investment by the Council under subsection (3) of section 21 of the Act of 1937 of any moneys forming part of but not for the time being required to meet payments out of the fund, the Act of 1961 shall have effect as if—

(*a*) for paragraphs 3 and 4 of Part II of Schedule 1 to that Act there were substituted the following paragraphs:—

" 3. In fixed-interest securities issued by any public, municipal or local authority, or any publicly controlled or nationalised industry or undertaking, whether established within or outside the United Kingdom.

4. In fixed-interest securities issued by the government of any territory outside the United Kingdom.";

(*b*) for paragraph 6 of Part II of the said Schedule 1 there were substituted the following paragraph:—

" 6. In debentures issued by a company incorporated in the United Kingdom or established under the law of any territory outside the United Kingdom.";

(*c*) in paragraph 9 of Part II of the said Schedule 1 the words " in the United Kingdom ", where first occurring, were omitted and as if the following sub-paragraph were added at the end thereof:—

" (*g*) any public, municipal or local authority established outside the United Kingdom.";

(*d*) in paragraph 3 of Part III of the said Schedule 1 the words from " in the case " to the end of the paragraph were omitted;

(*e*) the following paragraphs were added at the end of Part III of the said Schedule 1:—

" 4. In any securities issued in any part of the world.

5. In the acquisition, development or management of land situated in the United Kingdom or any interest in such land, and whether alone or in association with any other person:

Provided that so long as the value of the investments of property for the time being made under the powers conferred by this paragraph is equal to or greater than one-quarter of the total value of the assets of the fund, no further investment may be made thereunder.";

(*f*) in paragraph 1 of Part IV of the said Schedule 1, after the word " schedule ", there were inserted the words " other than those mentioned in paragraphs 4 and 5 of the said Part III ";

(*g*) the following paragraph were inserted after paragraph 2 of Part IV of the said Schedule 1:—

" 2A. The securities mentioned in paragraphs 4 and 5 of Part III of this Schedule do not include shares or debenture stock not fully paid up (except shares or debenture stock which, by the terms of issue, are required to be fully paid up within nine months of the date of issue).";

(*h*) for sub-paragraph (*a*) of paragraph 3 of Part IV of the said Schedule 1, there were substituted the following sub-paragraph:—

" (*a*) securities or debentures of a company of which the total issued and paid-up share capital is less than five hundred thousand pounds, or (as the case may be) an equivalent sum in any foreign currency in which such share capital is issued at the rate of exchange current at the time when the investment is made; ";

(*i*) in sub-paragraph (*b*) of paragraph 3 of Part IV of the said Schedule 1, for the word " five " there were substituted the word " four " and as if at the end thereof there were added the words " or if the company has been incorporated or registered or has been trading for less than four years preceding the said calendar year unless the company has paid such a dividend for each of the years since incorporation or registration or commencement of trading, as the case may be.".

(2) Notwithstanding anything in the Act of 1961, the Council may invest any moneys referred to in subsection (1) of this section in any manner specified in Part III of Schedule 1 to that Act, as amended by this section, and may also from time to time vary any such investments:

Provided that no such moneys as aforesaid shall be so invested at any time when the value of all the investments made in the manner specified in Part III of the said schedule as so amended equals or exceeds three-quarters of the total value of the assets of the superannuation fund.

(3) For the purposes of subsection (2) of this section and of Schedule 1 to the Act of 1961, as amended by this section, the value of any investment of moneys forming part of the superannuation fund shall be treated as being the value of the investment at the time at which it was made.

Section 21 (3) of Act of 1937 not to limit foregoing powers.

7. The provisions of the last two foregoing sections shall have effect notwithstanding anything in subsection (3) of section 21 of the Act of 1937.

Expenses of investment of superannuation fund.

8. All costs, charges and expenses incurred by the Council in investing moneys forming part of the fund, or otherwise in relation thereto, may be paid by the Council out of the fund.

Power to lend money to local authorities, etc.

9.—(1) The Council may lend to any local authority, and a local authority may borrow from the Council, upon such terms and conditions as may be agreed, such money as the Council think fit to lend and as the local authority are authorised to borrow for the purpose for which such money is proposed to be borrowed, and any money so lent shall be repaid to the Council by the local authority within the period prescribed by the sanctioning authority or otherwise for the repayment by the local authority of the money they are authorised to borrow.

(2) Any sum borrowed by the Council for the purpose of this section shall be repaid within a period to expire not more than one year after that for which the same was lent by them to the local authority.

(3) Where any sum is borrowed by the Council for the purposes of this section it shall be lawful for the Council for such periods as they may think fit to suspend any annual provision required to be made by virtue of any enactment for the time being in force for the repayment of the sum borrowed.

(4) The Council shall be entitled to charge such rate of interest in respect of any particular loan under this section as may be agreed between the Council and the borrower:

Provided that the Council shall ensure so far as it is reasonably practicable to do so that having regard to all the circumstances existing at the time the loan is made the rate of interest agreed is such that no loss is incurred by the Council in respect of the loan.

(5) All costs, charges and expenses incurred by the Council in respect of any particular loan under this section shall be met by the borrower.

(6) In this section the expression " local authority " means the council of a borough or an urban or rural district in the county and any other authority having jurisdiction within the county

1875 c. 83. and being a local authority as defined by section 34 of the Local Loans Act, 1875, and includes any joint board if all the constituent authorities are such local authorities as aforesaid.

Power to borrow.

10.—(1) The Council may borrow without the consent of any sanctioning authority—

(*a*) such sums as may be necessary for the payment of the costs, charges and expenses of this Act;

(*b*) such sums as may be requisite for the purpose of lending to a local authority under section 9 (Power to lend money to local authorities, etc.) of this Act.

(2) The Council shall pay off all moneys borrowed under paragraph (*a*) of the foregoing subsection within such period as the Council may determine not exceeding five years from the passing of this Act.

(3) The provisions of Part IX of the Act of 1933 so far as they are not inconsistent with this Act shall extend and apply to money borrowed under this section as if it were borrowed under the said Part IX, and the period fixed under this section or under subsection (2) of the said section for the repayment of any money borrowed under subsection (1) of this section shall, as respects that money, be the fixed period for the purpose of the said Part IX.

(4) It shall not be lawful to exercise the powers of borrowing conferred by this section, other than the power of borrowing to pay the costs, charges and expenses of this Act, except in compliance with any order for the time being in force under section 1 of the Borrowing (Control and Guarantees) Act, 1946. 1946 c. 58.

Saving for exchange control. 1947 c. 14.

11. It shall not be lawful to exercise the powers conferred by any of the provisions of this Act except in compliance with the Exchange Control Act, 1947.

Costs of Act.

12. The costs, charges and expenses preliminary to, and of and incidental to, the preparing, applying for, obtaining and passing of this Act or otherwise in relation thereto, shall be paid by the Council out of the county fund or out of moneys to be borrowed under this Act.

PRINTED IN ENGLAND BY THE OYEZ PRESS
PRINT DIVISION OF THE SOLICITORS' LAW STATIONERY SOCIETY, LTD.
FOR C. H. BAYLIS
Controller of Her Majesty's Stationery Office and Queen's Printer of Acts of Parliament
LONDON: PUBLISHED BY HER MAJESTY'S STATIONERY OFFICE
1*s*. 9*d*. [9p] net

SBN 10 511270 4

Hampshire County Council Act 1970

CHAPTER xii

ARRANGEMENT OF SECTIONS

Section